

Table 5: The conditional distribution under the signal. Quantiles of monthly returns (%/month; spot and total for both portfolios), annualized volatility, and skewness, out of the signal, in its 92 months, and in the signal months outside and inside the downcurve regime; 1988:01–2026:02. Supporting statistics in the text: variance-ratio permutation p -values resample contiguous signal episodes; ex-crash regressions drop each portfolio’s full-sample bottom-decile months from both states; hazard regressions are linear-probability models of the crash indicator on the lagged signal with episode-clustered wild bootstrap p .

Series	State	N	q10	q25	q50	q75	Vol (ann.)	Skew
Carry, spot	Off	366	−2.35	−0.93	0.35	1.52	7.23	−0.41
	On	92	−3.94	−1.98	−0.76	0.94	9.55	−0.99
	On, non-downcurve	57	−5.27	−2.56	−1.04	0.84	10.73	−0.92
	On, downcurve	35	−1.72	−1.43	−0.17	0.98	6.60	0.33
Carry, total	Off	366	−2.03	−0.62	0.67	1.88	7.27	−0.34
	On	92	−3.59	−1.49	−0.17	1.39	9.61	−0.98
	On, non-downcurve	57	−4.99	−2.18	−0.64	1.19	10.69	−0.92
	On, downcurve	35	−1.39	−0.95	0.27	1.55	6.62	0.49
High-beta, spot	Off	366	−2.69	−1.19	0.25	1.59	7.75	−0.43
	On	92	−3.80	−1.72	−0.36	0.93	7.94	−0.29
	On, non-downcurve	57	−4.39	−2.69	−0.42	0.75	7.87	−0.51
	On, downcurve	35	−2.06	−1.04	−0.13	1.70	7.51	0.13
High-beta, total	Off	366	−2.58	−1.03	0.41	1.73	7.77	−0.43
	On	92	−3.62	−1.49	−0.13	1.16	7.95	−0.27
	On, non-downcurve	57	−4.22	−2.48	−0.31	0.94	7.87	−0.51
	On, downcurve	35	−1.70	−0.64	0.18	1.85	7.47	0.21